

what it did last week and last month, and you can't follow trends without the same information.

In this chapter, I will demonstrate how a complete trading model can be built without any historical price information at all. As always with any trading rules I show, this one too is designed as a demonstration model, to teach a concept. It is not meant for you to simply start trading from. I will demonstrate that the concept used is valid and can add value on its own, in this isolated type of approach. In reality, should you wish to use such a concept, you may want to combine it with more traditional approaches, rather than going for this very pure approach used for teaching.

■ Term Structure

We already touched briefly on the concept of term structure early in this book, but we didn't really look closely at just how important this factor is. Let's start with an overview of this phenomenon first, to make sure you're up to speed. Then I'll go into how we can use the rather weird-sounding terms *contango* and *backwardation* to construct trading models, and hopefully make a bit of money.

Futures contracts have a limited life span. There is a date when each contract ceases to exist. This means that there is not just one futures gold contract, but a rather large amount of them. At any given time, there will be one specific contract that has the highest liquidity. Most people would trade the contract that's closest to expiry, as long as it has not passed the first notice date.

The first notice date, usually a month before expiry, refers to the date when a contract becomes deliverable, and someone still holding it can be called upon to make or take delivery. As traders, we don't really want to be part of that, but it's not really a risk in reality. Your broker won't let you keep positions open after that date anyhow. First notice date is a concept primarily in commodity futures, and that's the only sector which we are going to trade in this chapter. It's in the commodity sector that term structure trading is of most interest.

Figure 8.1 shows a snapshot in time of how the term structure of soybean looked, at that particular point. As with any financial data, this is ever changing, of course. Figure 8.1 shows the expiry dates on the x-axis, and corresponding price and open interest for each contract.